Morgan Stanley | RESEARCH

UPDATE

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Large Cap Banks | North America

How Did GSIB Scores Trend in 1Q26?

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LARGE CAP BANKS

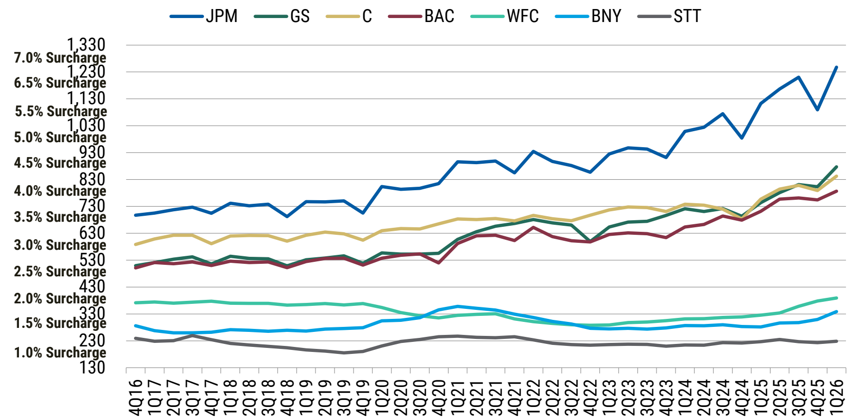
North America
Industry View **Attractive**

Key Takeaways

- We update our GSIB score tracker based on the recently-released Y-15 filings.
- We estimate that GSIB surcharges implied by GSIB scoring under current rules increased by a median 50bps q/q, most at JPM
- This is not surprising given trading balances increased meaningfully at all the money center banks q/q. Current rules are based on spot balances.
- We est. that surcharges implied by the new capital proposals increased by a more modest 10bps q/q, largely given the use of avg balances over a year.
- We continue to expect these new capital proposals that were released on March 19 will be finalized as soon as 3Q26.

Exhibit 1: GSIB scores increased q/q across the group in 1Q26 under current rules, with the biggest increase at JPM

Fed GSIB Score, Current Rules



Source: Company data, Federal Reserve, Morgan Stanley Research estimates

Exhibit 2: We estimate that GSIB surcharges implied by GSIB scoring under current rules increased q/q by a median 50bps, most at JPM; This is not surprising given trading balances increased meaningfully at the money centers q/q

GSIB Trends: Current Rules						
	1Q26		4Q25		Delta (1Q26 vs. 4Q25)	
	Surcharge	Score	Surcharge	Score	Surcharge	Score
BAC	4.0%	787	4.0%	754	0.0%	32
BNY	2.0%	339	1.5%	310	0.5%	29
C	4.5%	843	4.0%	790	0.5%	53
GS	4.5%	877	4.0%	803	0.5%	74
JPM	7.0%	1,248	5.5%	1,089	1.5%	159
WFC	2.0%	389	2.0%	378	0.0%	11
STT	1.0%	229	1.0%	223	0.0%	5
Median	4.0%	787	4.0%	754	0.5%	32
Average	3.6%	673	3.1%	621	0.4%	52

Source: Company data, Federal Reserve, Morgan Stanley Research estimates

Exhibit 3: We estimate that GSIB surcharges implied by GSIB scoring under the March capital proposal increased q/q by a median 10bps, most at JPM

GSIB Trends: M2 2026 NPR Estimate						
	1Q26		4Q25		Delta (1Q26 vs. 4Q25)	
	Surcharge	Score	Surcharge	Score	Surcharge	Score
BAC	3.5%	683	3.4%	665	0.1%	19
BNY	1.0%	133	1.0%	125	0.0%	8
C	3.5%	680	3.4%	661	0.1%	19
GS	3.0%	586	2.9%	557	0.1%	29
JPM	5.4%	1,050	5.2%	1,016	0.2%	35
WFC	1.6%	303	1.5%	289	0.1%	14
STT	1.0%	97	1.0%	96	0.0%	1
Median	3.0%	586	2.9%	557	0.1%	19
Average	2.7%	505	2.6%	487	0.1%	18

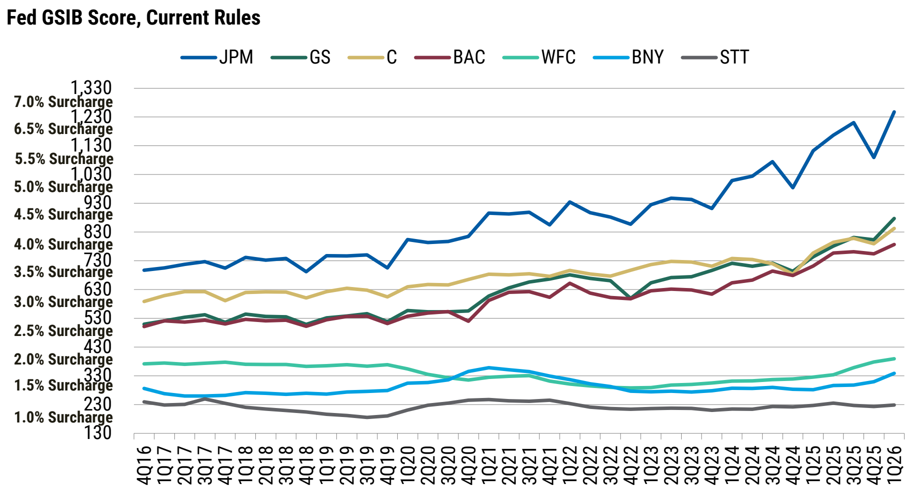
Source: Company data, Federal Reserve, Morgan Stanley Research estimates

ICYMI:

- US Banks and Consumer Finance: How Much Capital Is In Motion After 1Q26 Earnings? (6 May 2026)
- US Banks & Fixed Income Research: New Capital Rules Out: Positive for All, Super Regionals and Regionals See Most Relief (19 Mar 2026)

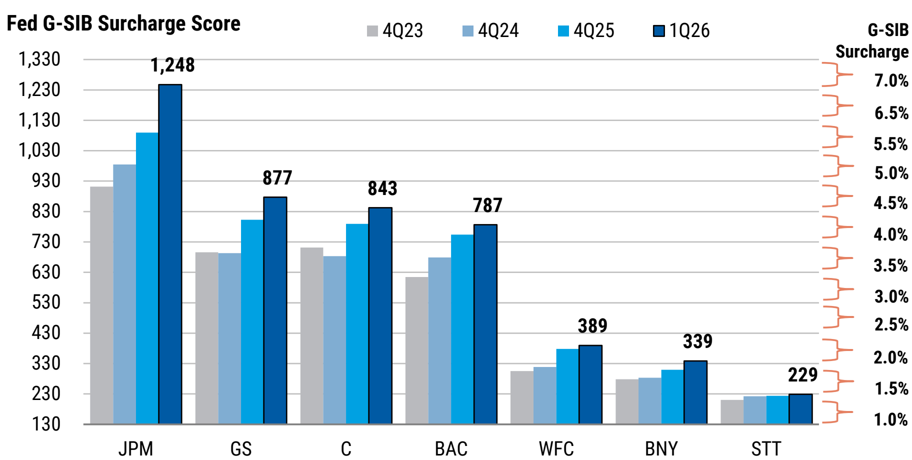
GSIB Scores Trend Meaningfully Higher Under Current Rules

Exhibit 4: GSIB scores increased q/q across the board in 1Q26 under current rules, with the biggest increase at JPM



Source: Company data, Federal Reserve, Morgan Stanley Research estimates

Exhibit 5: JPM, GS, C, BAC, and WFC trended 1 bucket higher in 4Q25; current rules allow 1 year (by 4Q26) to bring back down before a higher score would take effect (in 1Q28). Because JPM/BAC did not bring their score back down to the 4.5%/3.0% buckets in 4Q25, their 5.0%/3.5% scores from 4Q24 would take effect in 1Q27 under current rules.



Source: Company data, Federal Reserve, Morgan Stanley Research estimates

Exhibit 6: What period counts? Under current rules, GSIB surcharges are only based on year-end (i.e. 4Q) data, and are applicable two years out if they rise, and one year out if they fall, i.e. Banks have a "buffer" year to move back down into the lower bucket. Under current rules, JPM and BAC's surcharges would each increase by 50bps in January 2027.

GSIB Surcharges (Under Current Rules)			
	Applicable Today *Confirmed*	**Applicable as of 1/1/2027** *Confirmed*	**Applicable as of 1/1/2028** *Unless can bring down by 12/31/26*
JPM	4.5%	**5.0%**	**5.5%**
C	3.5%	3.5%	**4.0%**
GS	3.5%	3.5%	**4.0%**
BAC	3.0%	**3.5%**	**4.0%**
WFC	1.5%	1.5%	**2.0%**
BK	1.5%	1.5%	1.5%
STT	1.0%	1.0%	1.0%

If the bank moves into the higher GSIB surcharge bucket…		
Score as of	**Applicable as of**	**Unless can bring down by**
12/31/2023	1/1/2026	12/31/2024
12/31/2024	1/1/2027	12/31/2025
12/31/2025	1/1/2028	12/31/2026
12/31/2026	1/1/2029	12/31/2027

Source: Company data, Federal Reserve, Morgan Stanley Research estimates

Exhibit 7: Scores increased the most q/q at JPM, with higher trading/AFS securities as the biggest driver.

Drivers of the GSIB score change between 4Q25 and 1Q26		JPM	C	GS	BAC	WFC	BNY	STT
Size	*Total Exposure Prior Regulatory Deduction*	12	4	8	4	5	1	0
	Total Intra-Financial System Assets	11	5	10	0	1	2	2
	Total Intra-Financial System Liabilities	6	0	-2	2	-3	11	2
Interconnectedness	*Total Securities Outstanding*	-5	-1	4	-4	-2	0	0
	Total Notional OTC Derivatives	20	9	12	16	3	0	1
	Total Adjusted Trading & AFS Securities	46	2	14	2	-4	1	0
Complexity	*L3 FVM Assets: Total Assets*	5	2	1	1	0	0	0
	Total Non U.S. Claims Ultimate Risk Basis	37	10	11	1	0	2	0
Cross-Jurisdiction	*Total Cross-Jurisdictional Liabilities*	24	14	16	5	3	3	2
ST Wholesale Funding	*Short-term Wholesale Funding Ratio*	2	8	0	4	7	9	-3
	Fed GSIB Score (Method 2)	**159**	**53**	**74**	**32**	**11**	**29**	**5**

Source: Company data, Federal Reserve, Morgan Stanley Research estimates

Exhibit 8: JPM has the highest GSIB score, driven predominantly by total exposure (size)

GSIB Score (Method 2) Breakdown: Comparison Across Banks		JPM	C	GS	BAC	WFC	BNY	STT
Size	*Total Exposures*	249	151	110	184	115	23	18
	Total Intra Financial System Assets	63	38	47	38	34	13	13
	Total Intra Financial System Liabilities	79	50	18	24	17	53	34
Interconnectedness	*Total Securities Outstanding*	135	70	74	84	56	12	6
	Total Notional Amount of OTC Derivatives	99	79	75	85	30	2	6
	Total Adjusted Trading and AFS Securities	139	40	93	75	27	16	4
Complexity	*Assets Valued Using Level 3 Measurement Inputs*	45	19	35	17	11	0	0
	Foreign Claims on an Ultimate Risk Basis	143	113	74	67	23	12	10
Cross-Jurisdiction	*Total Cross Jurisdictional Liabilities*	129	134	81	60	14	21	17
ST Wholesale Funding	*Short-term Wholesale Funding Metric*	167	150	271	152	61	187	121
	Fed GSIB Score (Method 2)	**1,248**	**843**	**877**	**787**	**389**	**339**	**229**

Source: Company data, Federal Reserve, Morgan Stanley Research estimates

But Up More Modestly Under the New Proposal

Exhibit 9: We estimate that GSIB surcharges implied by GSIB scoring under the March capital proposal increased q/q by a median 10bps, most at JPM

GSIB Trends: M2 2026 NPR Estimate

	1Q26		4Q25		Delta (1Q26 vs. 4Q25)	
	Surcharge	Score	Surcharge	Score	Surcharge	Score
BAC	3.5%	683	3.4%	665	0.1%	19
BNY	1.0%	133	1.0%	125	0.0%	8
C	3.5%	680	3.4%	661	0.1%	19
GS	3.0%	586	2.9%	557	0.1%	29
JPM	5.4%	1,050	5.2%	1,016	0.2%	35
WFC	1.6%	303	1.5%	289	0.1%	14
STT	1.0%	97	1.0%	96	0.0%	1
Median	3.0%	586	2.9%	557	0.1%	19
Average	2.7%	505	2.6%	487	0.1%	18

Source: Company data, Federal Reserve, Morgan Stanley Research estimates

Exhibit 10: Summary of the 2026 GSIB Surcharge NPR shows a 1.2x one time adjustment to coefficients (worse than the 1.7x we expected), a move to average balances from EOP balances, and a migration from short-term wholesale funding as a ratio input to a balances input

Method 2 GSIB Proposal Summary

GSIB Score Calculation		Coefficient Value Adj. (i.e one-time adj. + GDP scalar post-implementation)			Measurement Adj. (i.e. averaging)		Definition Amendments
Systemic Indicator		OLD	One-Time Adj.	NEW	OLD	NEW	
Size	*Total Exposure Prior Regulatory Deduction*	4.423%	1.2	3.686%	Avg. daily for on-B/S; Avg. month-end for off-B/S	*UNCH*	
Interconnectedness	*Total Intra-Financial System Assets*	12.007%	1.2	10.006%	End of period	Avg. daily for on-B/S; Avg. month-end for off-B/S	Expand definition of 'financial institution'; Use SA-CCR to measure deriv. exposures; Update treatment of non-cash collateral in OTC deriv. transactions
	Total Intra-Financial System Liabilities	12.490%	1.2	10.408%			
	Total Securities Outstanding	9.056%	1.2	7.547%		Avg. month-end	Update treatment of CDs; Clarify score of preferred shares
Complexity	*Total Notional OTC Derivatives*	0.155%	1.2	0.129%	End of period	Avg. daily	
	Total Adjusted Trading & AFS Securities	30.169%	1.2	25.141%			
	L3 FVM Assets: Total Assets	161.177%	1.2	134.314%		Avg. month-end	
Cross-Jurisdiction	*Total Cross-Jurisdictional Claims*	9.277%	1.2	7.731%	End of period	Avg. month-end	Add derivative exposures
	Total Cross-Jurisdictional Liabilities	9.926%	1.2	8.272%			
ST Wholesale Funding*	*Short-term Wholesale Funding*	350	N/A	23.003%	Avg. daily/RWA	Avg. daily	Update reporting to 1-day mismatch (i.e. align FR Y15 w/ FR 2052A)
GSIB Score Bands / Surcharge Output		**Change:** Score bands move down to 20-point increments from 100 points; Surcharge outputs move down to 10bp increments from 50bps. **Rationale**: Avoid cliff effects between buckets.					
Timing		**Current:** Surcharges are applicable two years out if they rise, and one year out if they fall. **Slight adjustment:** Proposal clarifies that if a surcharge is set to rise and later falls, then the lower, more recent value would apply instead.					

Note: The proposal would remove the average risk-weighted assets denominator from the calculation of a firm's short-term wholesale funding (STWF) score. Under the proposal, a banking organization's STWF score would be equal to its average weighted short-term wholesale funding amount multiplied by a coefficient (instead of the ratio of STWF/RWA multiplied by 350). The proposal notes that use of RWA in the denominator of the current approach can result in outcomes that may not align with measuring systemic risk (as RWAs can change without relevance to reliance on STWF). The proposed coefficient value applied to the STWF amount seeks to address the current overweighting of the short-term wholesale funding category by using a calibration consistent with the initial 2015 rule's 20 percent objective (vs. ~30% of scores since the GSIB framework adoption); Source: Federal Reserve, Morgan Stanley Research

Exhibit 11: We estimate GSIB surcharges would decline median 30bps (range 0-100bps) if implemented today. Key reasons why we cannot exactly back into the Fed's analysis include 1) move to averaging of inputs (i.e. only have access to quarter-end data) and 2) amendments to input definitions, primarily impacting the inter-connectedness and cross-jurisdiction categories.

	2023 GSIB Trends (Applicable 1/1/2026)					
	M2 2026 NPR Est.		M2 Current Rule		Delta (NPR vs. Current Rules)	
	Surcharge	Score	Surcharge	Score	Surcharge	Score
BAC	2.8%	548	3.0%	614	-0.2%	(66)
BNY	1.0%	107	1.5%	278	-0.5%	(171)
C	3.1%	600	3.5%	711	-0.4%	(111)
GS	2.5%	476	3.5%	696	-1.0%	(220)
JPM	4.2%	814	4.5%	915	-0.3%	(101)
WFC	1.3%	248	1.5%	305	-0.2%	(57)
STT	1.0%	83	1.0%	210	0.0%	(127)
Median	2.5%	476	3.0%	614	-0.3%	(111)
Average	2.3%	411	2.6%	533	-0.4%	(122)

	2024 GSIB Trends (Applicable 1/1/2027)					
	M2 2026 NPR Est.		M2 Current Rule		Delta (NPR vs. Current Rules)	
	Surcharge	Score	Surcharge	Score	Surcharge	Score
BAC	3.1%	594	3.5%	679	-0.4%	(85)
BNY	1.0%	115	1.5%	283	-0.5%	(169)
C	3.1%	601	3.5%	683	-0.4%	(83)
GS	2.6%	502	3.5%	693	-0.9%	(191)
JPM	4.6%	896	5.0%	985	-0.4%	(89)
WFC	1.4%	261	1.5%	320	-0.1%	(58)
STT	1.0%	89	1.0%	222	0.0%	(133)
Median	2.6%	502	3.5%	679	-0.4%	(89)
Average	2.4%	437	2.8%	552	-0.4%	(115)

	2025 GSIB Trends (Applicable 1/1/2028)					
	M2 2026 NPR Est.		M2 Current Rule		Delta (NPR vs. Current Rules)	
	Surcharge	Score	Surcharge	Score	Surcharge	Score
BAC	3.4%	665	4.0%	754	-0.6%	(90)
BNY	1.0%	125	1.5%	310	-0.5%	(184)
C	3.4%	661	4.0%	790	-0.6%	(128)
GS	2.9%	557	4.0%	803	-1.1%	(246)
JPM	5.2%	1,016	5.5%	1,089	-0.3%	(74)
WFC	1.5%	289	2.0%	378	-0.5%	(89)
STT	1.0%	96	1.0%	223	0.0%	(128)
Median	2.9%	557	4.0%	754	-0.5%	(128)
Average	2.6%	487	3.1%	621	-0.5%	(134)

Note: Based on our GSIB score calculation using the 2026 NPR methodology for Method 2, JPM's implied GSIB surcharge would be 4.2%, but we note that the Fed's output table implies 4.3% as the highest GSIB surcharge in the group; Applicability timing refers to current rules; Source: Company Data, Federal Reserve, Morgan Stanley Research

Exhibit 12: As part of the 2026 GSIB proposal, score bands move down to 20-point increments from 100 points, and surcharge outputs move down to 10bp-increments from 50bp. This is in line with the original 2023 proposal.

Table 2: Proposed revised method 2 surcharge score band ranges

Method 2 Score Range	Method 2 Surcharge		Method 2 Score Range	Method 2 Surcharge	
	Current	Proposed		Current	Proposed
Less than 189	1.0%	1.0%	630 - 649	3.5%	3.3%
190 - 209		1.1%	650 - 669		3.4%
210 - 229		1.2%	670 - 689		3.5%
230 - 249	1.5%	1.3%	690 - 709		3.6%
250 - 269		1.4%	710 - 729		3.7%
270 - 289		1.5%	730 - 749	4.0%	3.8%
290 - 309		1.6%	750 - 769		3.9%
310 -329		1.7%	770 - 789		4.0%
330 - 349	2.0%	1.8%	790 - 809		4.1%
350 - 369		1.9%	810 - 829		4.2%
370 - 389		2.0%	830 - 849	4.5%	4.3%
390 - 409		2.1%	850 - 869		4.4%
410 - 429		2.2%	870 - 889		4.5%
430 - 449		2.3%	890 - 909		4.6%
450 - 469		2.4%	910 - 929		4.7%
470 - 489	2.5%	2.5%	930 - 949		4.8%
490 - 509		2.6%	950 - 969	5.0%	4.9%
510 - 529		2.7%	970 - 989		5.0%
530 - 549	3.0%	2.8%	990 - 1009		5.1%
550 - 569		2.9%	1010 - 1029		5.2%
570 - 589		3.0%	1030 - 1049	5.5%	5.3%
590 - 609		3.1%	1050 - 1069		5.4%
610 - 629		3.2%	1070 - 1089		5.5%
			1090 - 1109		5.6%
			1110 - 1129		5.7%

Source: Federal Reserve, Morgan Stanley Research

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(as of April 30, 2026)

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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Large Cap Banks

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/26/2026)
Manan Gosalia		
Bank of America (BAC.N)	O (04/07/2025)	$52.20
Bank of New York Mellon (BNY.N)	E (02/17/2026)	$141.05
Citigroup Inc. (C.N)	O (01/30/2024)	$126.86
Goldman Sachs Group Inc (GS.N)	E (04/07/2025)	$994.52
JPMorgan Chase & Co (JPM.N)	E (09/30/2024)	$306.74
Northern Trust Corp. (NTRS.O)	U (04/07/2025)	$169.94
PNC Financial Services (PNC.N)	E (02/17/2026)	$220.81
Regions Financial Corp (RF.N)	E (12/09/2024)	$28.25
State Street Corporation (STT.N)	O (12/09/2024)	$158.52
Truist Financial Corp (TFC.N)	O (02/17/2026)	$48.68
U.S. Bancorp (USB.N)	E (09/28/2025)	$55.22
Wells Fargo & Co. (WFC.N)	E (09/28/2025)	$77.52

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* Historical prices are not split adjusted.